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Student Number



**St Ignatius College
Riverview**

2017

**HSC TRIAL
EXAMINATION**

Business Studies

General Instructions

- Reading time – 5 minutes
- Working time – 3 hours
- Write using a black pen
- Board-approved calculators may be used

Total marks - 100

Section I

20 marks

- Attempt Questions 1-20
- Allow about 35 minutes for this section

Section II

40 marks

- Attempt Questions 21-25
- Allow about 1 hour and 15 minutes for this section

Section III

20 marks

- Attempt Question 26
- Allow about 35 minutes for this section

Section IV

20 marks

- Attempt Question 27 or 28
- Allow about 35 minutes for this section

Section I

20 marks

Attempt Questions 1–20

Allow about 35 minutes for this section

Use the multiple-choice answer sheet for Questions 1–20.

- 1** Which financial institution invests the retirement contributions of its members?
- (A) Unit trust
 - (B) Investment bank
 - (C) Finance company
 - (D) Superannuation fund
- 2** A Thai plastics manufacturer sells brooms to all hardware stores in Australia.
- What type of market is the overseas manufacturer targeting?
- (A) Niche
 - (B) Resource
 - (C) Consumer
 - (D) Intermediate
- 3** Which of the following businesses would be most likely to use a FIFO (first-in-first-out) inventory management system?
- (A) An art retailer
 - (B) A clothing retailer
 - (C) A furniture wholesaler
 - (D) A fresh fruit wholesaler

4 Which of the following best describes the minimum pay and conditions that apply to an industry?

- (A) Award
- (B) Contract
- (C) Enterprise agreement
- (D) Minimum employment standards

5 Involuntary separation may take the form of

- (A) retrenchment or dismissal.
- (B) retrenchment or resignation.
- (C) retirement or dismissal.
- (D) retirement or resignation.

Use the information below to answer Question 6.

	Jan	Feb	March	April	May
Obtain lease and refit shop					
Purchase Stock					
Select and train staff					
Advertising campaign					
Commence trading					

6 What does this Gantt chart show?

- (A) Selection and training of staff will begin in March.
- (B) The shop will commence trading at the end of May.
- (C) Obtaining the lease and refit will take two months to complete.
- (D) Purchasing stock and training of staff will be done at the same time.

- 7 Which of the following is an example of outsourcing of a human resource function?
- (A) Hiring a new payroll officer
 - (B) Contracting an external cleaning service provider
 - (C) Using a recruitment company to fill a new position
 - (D) Appointing an independent auditor to review financial reports
- 8 Which of the following would improve the accounts receivable turnover ratio (sales ÷ accounts receivable)?
- (A) Increasing customer credit limits
 - (B) Offering discounts for early payment
 - (C) Extending payment terms from 30 to 60 days
 - (D) Implementing just-in-time inventory management
- 9 A business heavily advertises their lollies during children's TV shows.
- This promotional strategy is
- (A) deceptive and misleading advertising which is illegal.
 - (B) deceptive and misleading advertising which is legal but unethical.
 - (C) promoting a product that may damage health which is illegal.
 - (D) promoting a product that may damage health which is legal but unethical.
- 10 A Victorian school employs only male rugby coaches.
- Which legislation prohibits this behaviour?
- (A) *Affirmative Action (Equal Employment Opportunity for Women) Act 1986* (Cth)
 - (B) *Competition and Consumer Act 2010* (Cth)
 - (C) *Sex Discrimination Act 1984* (Cth)
 - (D) *Anti Discrimination Act 1977* (NSW)

11 The clients at an accountancy firm are a part of

- (A) transformed process
- (B) transformed resources
- (C) transforming resources
- (D) transformation process

Use the information below to answer Question 12 and 13.

The table shows financial data for Electronics Importers Pty Ltd for 2015 and 2016.

	2015	2016	Industry Average
<i>Current Ratio</i> (current assets ÷ current liabilities)	3:1	0.9:1	2:1
<i>Debt to Equity Ratio</i> (total liabilities ÷ total equity)	120%	140%	120%
<i>Gross Profit Ratio</i> (gross profit ÷ sales)	80%	70%	80%

12 Which of the following describes the changes in solvency and liquidity from 2015 to 2016?

	<i>Solvency</i>	<i>Liquidity</i>
(A)	Improved	Improved
(B)	Improved	Worsened
(C)	Worsened	Improved
(D)	Worsened	Worsened

13 Which of the following could explain the change in the gross profit ratio for Electronics Importers Pty Ltd?

- (A) Less spending on the marketing cost centre
- (B) A decrease in the value of the Australian dollar
- (C) An increase in the value of the Australian dollar
- (D) More efficient rostering requiring less staff on each shift

14 Shack Spinners are offering a free packet of chips with every fidget spinner purchased.

Which approach has Shack Spinners adopted?

- (A) Selling approach
- (B) Consumer approach
- (C) Marketing approach
- (D) Production approach

15 At what stage in the marketing process would a business identify the need to revise their promotional strategies?

- (A) Identifying a target market
- (B) Monitoring and controlling
- (C) Setting marketing objectives
- (D) Developing marketing strategies

16 Which of the following best describes the purpose of a critical path analysis?

- (A) To produce a process layout plan.
- (B) To produce a chart showing the financial costs of the project.
- (C) To identify the dependencies between the project tasks.
- (D) To identify any faults with the tasks planned for the project.

Use the information to answer Question 17.

The table shows financial data for two businesses.

	<i>Business A</i>	<i>Business B</i>
<i>Sales (\$)</i>	1 500 000	1 300 000
<i>Net Profit (\$)</i>	300 000	200 000
<i>Owner's Equity (\$)</i>	2 500 000	2 500 000
<i>Accounts receivable (\$)</i>	300 000	350 000
Return on equity ratio: net profit ÷ total equity Net profit ratio: net profit ÷ sales Accounts receivable turnover ratio: sales ÷ accounts receivable		

17 Which of the following statements is correct?

- (A) Business A is more efficient and has a higher net profit ratio than Business B.
- (B) Business B is more efficient and has a higher net profit ratio than Business A.
- (C) Business A is more efficient but a lower net profit ratio than Business B.
- (D) Business B is more efficient but a lower net profit ratio than Business A.

18 Which of the following represents the legal obligations of employers and employees?

	<i>Employer obligation</i>	<i>Employee obligation</i>
(A)	Ensure staff are paid in accordance with their contract	Join the union to collectively represent all workers
(B)	Provide flexible working arrangements as requested	Join the union to collectively represent all workers
(C)	Ensure staff are paid in accordance with their contract	Report any hazards or injuries to supervisors
(D)	Provide flexible working arrangements as requested	Report any hazards or injuries to supervisors

- 19** A business regularly checks its inventory to assess whether there has been any damage or theft of assets.

Which process of financial management is the business undertaking?

- (A) Setting budgets
- (B) Establishing record systems
- (C) Determining financial needs
- (D) Implementing financial controls

- 20** A mountain wear clothing company has as their target market music loving young adults.

What type of market segmentation is this business using?

- (A) Behavioural and Geographic
- (B) Geographic and Psychographic
- (C) Demographic and Behavioural
- (D) Psychographic and Demographic

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Student Number

Business Studies

Section II

40 marks**Attempt Questions 21 - 25****Allow about 1 hour and 15 minutes
for this section**

Answer the questions in the spaces provided. These spaces provide guidance for the expected length of response.

Extra writing space is provided on If you use this space, clearly indicate which question you are answering.

Write your Student Number at the top of this page.

Please turn over

Question 21 (6 marks)

Fashionable Fashion is a business specialising in customised clothing. The business has decided to implement a new online customer ordering system to replace their current 20 person call centre.

- (a) Outline the impact this decision will have on an operations performance objective. 2

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- (b) Explain why managers at Fashionable Fashion may be resistant to change. 4

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End of Question 21

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Question 22 (10 marks)

Student Number

Dig Ltd is seeking funds to buy a new mine.

- (a) Distinguish between liquidity and solvency. 2

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- (b) Recommend an appropriate source of equity finance to fund this development. 2

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Question 22 continues on page 12.

Question 22 (continued)

- (c) Outline the impact of a decision to borrow funds on Dig Ltd's financial statements.

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- (d) Explain how Dig Ltd can manage the financial risk of borrowing from overseas.

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End of Question 22

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Question 23 (8 marks)

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- (a) Outline the influence of unions on human resource management. In your answer, identify a specific union. 2

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- (b) Describe the impact of ONE social influence on human resource management. 2

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Question 23 continues on page 14

Question 23 (continued)

- (c) Distinguish between the process of negotiating enterprise agreements and individual employment contracts.

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End of Question 23

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Question 24 (10 marks)

Student Number

Good Wall manufacture a low priced entry-level utility vehicle.

- (a) Outline TWO implied conditions under the Australian Consumer Law. 2

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- (b) Describe TWO factors that would influence customer choice for customers of Good Wall. 4

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Question 24 continues on page 16

Question 24 (continued)

- (c) Good Wall are considering adding a family car to their product range.

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Explain how a situational analysis will assist Good Wall.

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End of Question 24

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Question 25 (6 marks)

Student Number

With reference to a business that you have studied, analyse the causes of ONE workplace dispute and the strategies used to resolve it.

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End of Question 25

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Section II extra writing space

Student Number

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Business Studies

Section III

20 marks

Attempt Question 26

Allow about 35 minutes for this section

Use the question in a writing booklet. Extra writing booklets are available.

In your answer you will be assessed on how well you:

- demonstrate knowledge and understanding relevant to the question
 - use the information provided
 - communicate using relevant terminology and concepts
 - present a sustained, logical and cohesive response in the form of a business report
-

Question 26 (20 marks)

Please turn over

Question 26 (20 marks)

All Motor Bikes Pty Ltd sells motorised bikes including quad bikes and trail bikes in NSW and Victoria. They also run service centres for repairs and maintenance of the bikes they sell.

They would like to expand to increase profits and are seeking finance from overseas. Currently, accounts payable are increasing and cash flow forecasts predict cash shortages in the next 12 months.

The business has been criticised for the environmental impact of their products and the amount of waste generated by the service centres.

Management have asked you to write a business report in which you:

- describe financial global market influences that may impact on their decision to borrow from overseas
- explain why corporate social responsibility is a key concern for operations management
- recommend appropriate cash flow management and profitability management strategies for the business

Section IV

20 marks

Attempt either Question 27 or Question 28

Allow about 35 minutes for this section

Use the question in a writing booklet. Extra writing booklets are available.

In your answer you will be assessed on how well you:

- demonstrate knowledge and understanding relevant to the question
 - use relevant business case study/studies
 - communicate using relevant business terminology and concepts
 - present a sustained, logical and cohesive response
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Question 27 (20 marks)

Evaluate the effectiveness of marketing management in achieving business objectives.

OR

Question 28 (20 marks)

Evaluate the effectiveness of human resource management in achieving business objectives.

End of paper

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